Despite the progress, there were several legal disabilities which created problems for commercial banks in the financing of agriculture. These included obstacles in the way of farmers raising loans against mortgage of land, heavy stamp duty and registration fees on the creation of mortgages, and the statutory prior charge which cooperatives enjoyed over farmers' lands. The RBI appointed a working group under Talwar in 1976 to make recommendations in this regard. The group made several recommendations which included that the exemptions which were made available to the cooperative sector should also be extended to commercial banks. The group also drafted a model bill for State Governments to enact so as to bring under a single statute all the rights and privileges that could be conferred on commercial banks.[20] The idea was that the concessions would simplify the procedure for grant and recovery of agricultural loans made by commercial banks and also reduce their cost of lending. The recommendations of the group were accepted and circulated to the State Governments for implementation. However, there was no uniformity in the enactments and the support that commercial banks were looking for remained disappointing.

Relations with Staff

Talwar faced his first major test when he was Superintendent of the Branch Department at the Calcutta LHO. Calcutta was a difficult place to work due to staff problems. The staff unions had adopted a go-slow policy which was seriously affecting work. There had been instances when officers had been physically assaulted or humiliated on the streets. This created an atmosphere of fear and officers fought shy of open confrontation. When Talwar inspected the office, he found that hardly anyone was working. Talwar advised them to start working and said that he would return later to check on their progress. On his return to his room, he was roundly abused by four senior union leaders who asked him to mind his own business. After some time, the staff from all the branches in Calcutta congregated at the LHO. In the absence of the Secretary and Treasurer, the leaders met the Deputy Secretary and demanded action against Talwar. Talwar told the Deputy Secretary that he was willing to accept responsibility and was prepared for any consequences but requested the Deputy Secretary not to